Defined Benefit Plans for Your Business Owner Clients

A qualified plan option for high earners who have outgrown the 401(k) or SEP

A small business defined benefit plan is an IRS qualified retirement plan that lets an owner contribute, and deduct, far more each year than a 401(k), SEP or SIMPLE allows. For the right client it can become the largest deduction on the return. This guide covers how the plan works, who it fits, and how Skyview Financial Group coordinates the process with you and the plan administrator.

HOW IT WORKS

A defined benefit plan targets a specific annual benefit at retirement. An actuary works backward from that target to set the yearly contribution, based on:

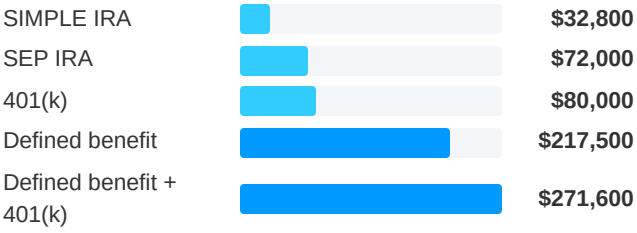
- **Age.** The older the owner, the fewer years to fund the benefit, so the larger the annual contribution.
- **Compensation.** W-2 wages for corporations; net self-employment earnings for sole proprietors and partnerships. Only earned income counts, up to the $360,000 compensation limit.
- **Retirement age.** Usually at least five years after the plan is adopted.

The maximum annual benefit is currently $290,000. Contributions are deductible to the business and grow tax deferred. When the plan ends, assets can roll to an IRA.

A 401(k) can run alongside the plan, and for owners with staff, a **cash balance plan paired with a safe harbor 401(k)** keeps employee costs modest while the owner receives most of the contribution.

HOW MUCH MORE IT ALLOWS

2026 maximum contribution, owner age 52 earning $360,000



Includes catch-up contributions of $4,000 (SIMPLE) and $8,000 (401(k)). Defined benefit figures are actuarial estimates from Dedicated Defined Benefit Services for a hypothetical owner retiring in 10 years; actual amounts depend on the plan design and census.

WHY CPAS BRING IT UP

- ✓ Large, predictable deduction for clients whose income is high and steady
- ✓ Pairs with S corporation compensation planning and may help some pass-through owners with the qualified business income deduction
- ✓ Can be adopted as late as the business's tax filing deadline, including extensions
- ✓ Plan design, actuarial work and Form 5500 filings are handled by a specialist administrator

ESTIMATED ANNUAL CONTRIBUTION BY AGE AND INCOME

Income	Age 35	40	45	50	55	60	65
$100,000	$45,500	$55,200	$70,400	$84,200	$100,500	$101,400	$89,400
$150,000	$68,300	$82,800	$105,700	$126,300	$150,800	$152,200	$134,100
$200,000	$91,100	$110,500	$140,900	$168,400	$201,100	$202,900	$178,800
$250,000	$113,900	$138,100	$176,200	$210,500	$251,400	$253,600	$223,500

Figures are hypothetical actuarial estimates prepared by Dedicated Defined Benefit Services for 2026. Table assumes a corporation, W-2 compensation, a business start date of January 1, 2024, and retirement at the later of age 62 or five years of plan participation; amounts differ for sole proprietors. Contributions can be higher when a 401(k) is added or, for younger owners, when benefits are funded over the first 10 years.

QUICK ELIGIBILITY CHECK

- ✓ Age 35 or older
- ✓ Earns at least $100,000 a year as a business owner, through self-employment, as an independent contractor, or from a side business such as consulting, board fees, speaking or royalties
- ✓ Wants to contribute more than $50,000 a year, or a larger share of income than a 401(k) or SEP allows
- ✓ Can sustain the contribution for at least three to five years
- ✓ Owner only, owner and spouse, family business, or a small team (a cash balance design fits practices with staff)

COMMON PROFESSIONS

Physicians and dentists, attorneys, engineers, consultants, financial and insurance professionals, real estate agents, contractors, sales representatives, software developers, corporate directors with board fees, and spouses with self-employment income.

Works for sole proprietors, partnerships and corporations.

TYPICAL CLIENT PROFILES

Owner-only consultant, age 53

MAXIMUM DEDUCTION

W-2 income of $360,000, plans to retire at 62. Defined benefit plan funded over 10 years, with a 401(k).

2026 contribution, DB only / DB + 401(k)	**$230,100 / $284,200**

Married physicians, ages 61 and 59

CATCH UP BEFORE RETIREMENT

Each earns $360,000 in W-2 income; both plan to retire in five years. Plan funded over five years, optional 401(k).

2026 contribution, DB only / DB + 401(k)	**$559,800 / $668,000**

Professor with consulting income, age 57

SHELTER SIDE INCOME

Salaried at a university, plus $150,000 a year from consulting, board fees and speaking. Plan covers the side income only.

2026 contribution, DB only	**$148,400**

Engineer with variable income, age 48

SAVE MORE, KEEP FLEXIBILITY

W-2 income of $185,000 this year, not certain it will stay that high. Plan funded over 14 years, optional 401(k).

2026 contribution, DB only / DB + 401(k)	**$110,300 / $145,900**

Spouse with a bookkeeping practice, age 61

INVEST A SECOND INCOME

Earns $100,000 a year after self-employment tax; the household does not need it to live on.

2026 contribution, DB only	**$91,000**

Former executive now consulting, age 72

DEFER TAXES AND RMDS

Takes $200,000 in W-2 income through an S corporation. Five-year plan with three-year cliff vesting; no RMDs from this plan until 2029.

2026 contribution, DB only	**$128,400**

Profiles are hypothetical actuarial estimates prepared by Dedicated Defined Benefit Services for 2026, based on specific assumptions; actual contributions depend on plan design and census.

FROM ILLUSTRATION TO FUNDED PLAN

1. **Free illustration**

   Skyview requests a custom proposal from Dedicated DB showing the estimated maximum contribution. **You review it before your client sees it.**

2. **Plan design**

   Client completes a short questionnaire on the business, income and any employees. **Your input on entity type and compensation is key here.**

3. **Plan installation**

   Dedicated DB designs the plan, obtains the trust ID and prepares the adoption agreement and plan documents for signature.

4. **Fund the account**

   Skyview opens the plan's investment account at Fidelity or Schwab and manages it with a conservative, deduction-focused approach.

5. **Annual review**

   Each year end, Dedicated DB calculates the allowable contribution range and files the Form 5500. **You receive the contribution amount for the return.**

KEY DATES AND RULES

Adoption deadline	The business's tax filing deadline for the plan year, including extensions
Contribution deadline	Tax filing deadline plus extensions, and no later than 8½ months after plan year end. Up to 50% of the estimate can be deposited before year end
Commitment	Plan to contribute for at least three to five years; recent rule changes allow more year-to-year flexibility, but contributions must keep the plan on track
Employees	Must be considered in the design; a cash balance plus safe harbor 401(k) keeps staff costs predictable
At termination	Assets can roll to an IRA and continue to grow tax deferred
Investments	Low-volatility portfolios are generally recommended; the goal is a reliable deduction, not high returns

OUR COMMITMENT TO YOU

- ✓ You stay in the loop on every client, from first illustration to annual contribution
- ✓ We never position ourselves as tax preparers; the return stays with you
- ✓ Three-way calls with you, your client and the plan actuary whenever useful
- ✓ No cost to you or your client for an illustration

ABOUT SKYVIEW FINANCIAL GROUP

Skyview Financial Group is a fee-only, SEC registered investment adviser based in Ponte Vedra Beach, Florida, serving business owners, executives and families. We work alongside each client's CPA and attorney, and partner with Dedicated Defined Benefit Services, part of FuturePlan by Ascensus, a national third-party administrator specializing in defined benefit and cash balance plans for businesses with 1 to 10 employees.

Alex R. Potenza, CIMA®, CDFA®
President
apotenza@skyviewfg.com

Alex J. Potenza, CFP®, CPWA®
Vice President
ajpotenza@skyviewfg.com

Skyview Financial Group
Ponte Vedra Beach, Florida
skyviewfg.com

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